Similarly, the manufacturing sector, together with its extensive value chains, drives significant employment. Given your Company's engagement in the Paperboards value-chain, I would like to particularly emphasise on the livelihood potential in wood-based industries which can spur significant employment across the value chain, and enrich the country's green cover. **The country has nearly 30 million hectares of degraded land, the greening and productive use of which can generate millions of jobs every year, besides adding to the nation's green cover.**

I am sure you will take pride that ITC's Afforestation programme has supported millions of livelihoods by greening over 10 lakh acres, empowering farmers and providing a competitive source of fibre for your Company's Paperboards Business.

Contributing to the 'Make in India' vision, ITC continues to invest in building world-class infrastructure and eco-systems linked to its products and services. **Today, despite our growing footprint, nearly 90% of all raw materials are locally procured. The extended manufacturing network of over 200 factories supports local entrepreneurship and sustainable livelihoods. In the last 2 years alone, investments in 3 owned luxury hotels, 8 state-of-the-art manufacturing facilities, together with the 2x expansion of your Company's distribution infrastructure have generated significant livelihoods.** Investments underway in 2 state-of-the-art manufacturing facilities as well as an IT & Knowledge Centre will also add to this potential. ITC engages with over 6,000 MSMEs, extensively focussing on upgrading their technology, quality and skills given our belief that enterprises are only as strong as their value chains.

> **"Across the world, decarbonisation efforts have been rightly scaled up. However, as recent experiences demonstrate, extreme weather events are rising exponentially, aggravating climate risks and bringing adaptation to the centre-stage of climate action."**

Today, ITC's businesses & value chains support over 6 million sustainable livelihoods. Your Company's presence across all three sectors of the economy positions us well to make a growing contribution in this area of national priority.

## Building Climate Resilience

**The rapid escalation of extreme weather events poses serious risks to growth and livelihoods.** India's vulnerability to climate change is significant. Last year, the country experienced extreme weather events on 318 out of 365 days including heatwaves, floods and droughts. According to the World Bank, India could cross the human survivability index from rising temperatures. Aggravating this is the severe water stress impacting nearly 2/3rds of the country's districts.

Undoubtedly, action is required at exponential speed and scale. Proven solutions for decarbonisation need to be ramped up, while newer, economically viable and pragmatic pathways are called for to address hard-to-abate sectors, carbon capture, utilisation and storage as well as to ensure a just systems transition.

Estimates suggest that decarbonisation measures in India would require upwards of US $12 trillion by 2050, necessitating substantive public, private and multilateral funding. To unlock the potential of private capital, it will be important to catalyse accessible technologies, green financing together with market incentives and penalties besides eliminating frictions in the system. The Budget announcement to develop a taxonomy for climate finance and other innovative measures will also facilitate availability of funds for mitigation and adaptation.

**It is indeed heartening that the Hon'ble Prime Minister has spearheaded several initiatives to build a climate resilient future.** The move towards green hydrogen energy, the International Solar Alliance and the Green Credit Initiative under Mission LiFE are indeed notable examples. It is a matter of pride that India is the only G20 nation which is on track to achieve its 2030 NDC targets and long-term Net Zero commitments.

Across the world, decarbonisation efforts have been rightly scaled up. While these efforts will need to continue apace, their fuller impact will be felt only over a longer term. However, as recent experiences demonstrate, extreme weather events are rising exponentially, aggravating climate risks and bringing adaptation to the centre-stage of climate action. Such extreme weather events cause economic devastation, severely impact food & nutrition security, impede industrial activity and affect quality of life, particularly for the most vulnerable.

**Going forward, wide-ranging adaptation measures will be called for to secure agri-value chains, pursue regenerative agriculture & strengthen food security.**

**Physical infrastructure will need to be fortified while upgradations & new constructions will have to adhere to new climate resilient standards that are being codified.**

### *ITC's Large-Scale Climate Initiatives*

ITC believes that corporates can make a meaningful difference in combating the climate crisis and has implemented a mosaic of far-reaching interventions.

The ITC Next strategy focusses both on decarbonisation and adaptation to build resilience, enhance competitiveness of its businesses whilst spurring new opportunities.

**Over the years, in line with its decarbonisation strategy, ITC has significantly invested in building green infrastructure, improving energy efficiency and adoption of renewable energy.** Today, 50% of your Company's total energy consumption is from renewable sources, with capacity ramped up to over 200 MW. Investments in a High-Pressure Recovery Boiler in the energy-intensive Paperboards Business is slated to reduce coal consumption by over 1,50,000 tonnes annually.